FINM3013 Introduction to Financial Derivatives

Chapter 10

Solution to Class exercises

1. D. Dividends during the life of an option reduce the final stock price. As a result dividend increases cause puts to increase in value and calls to decrease in value.

2. B. The lower bound in $S_0 - Ke^{-rT}$. In this case it is $30 - 25e^{-0.04\times1} = \$5.98$.

3. A. If an American put option is exercised today it pays off the strike price minus the stock price. If the stock price is very low A is not true. The other three are all true.

4. B. Put call parity still holds for European options providing the present value of the dividends is subtracted from the stock price.

5. D. In this case because interest rates are zero $c+K=p+S_0$. The left side of this equation is 50+6=56. The right side is 49+7=56. There is no mispricing.